

Schneider Electric

Full Year 2025 Results

Financial Information

**Record FY25 performance with all-time high revenues and free cash flow;
Entering the next cycle with strong momentum in both businesses**

Rueil-Malmaison (France), February 26, 2026

Financial Highlights

- **Q4'25 revenues up +11% organic to €11 billion, a record high quarter**
 - Energy Management up +11% org., led by Data Center
 - Industrial Automation up +8% org., with continued recovery in Discrete automation
- **FY25 revenues up +9% organic, crossing €40 billion for the first time**
 - Energy Management up +10% organic
 - Industrial Automation up +3% organic
 - All four regions contribute to growth, led by North America up +15% organic
- **Adj. EBITA of €7.5 billion at 18.7%, up +12% organic**
 - Continued strong progression in adj. EBITA margin of +50bps org., accelerating in H2
- **Net Income of €4.2 billion, down -2%**
- **Record Free Cash Flow of €4.6 billion, up +10%; Cash Conversion from Net Income at 111%**
- **Progressive dividend¹ at €4.20/share, up +8%**
- **Completion of 2021-25 Schneider Sustainability Impact program with a score of 8.86**
- **FY26 Target: Adj. EBITA org. growth between +10% to +15%, driven by +7% to +10% org. revenue growth and +50bps to +80bps org. Adj. EBITA margin improvement**

Key figures (€ million)	2024 FY	2025 FY	Reported Change	Organic Change
Revenues	38,153	40,152	+5.2%	+8.9%
Adjusted EBITA	7,083	7,520	+6.2%	+12.3%
% of revenues	18.6%	18.7%	+10bps	+50bps
Net Income (Group share)	4,269	4,163	-2%	
Free Cash Flow	4,216	4,635	+10%	
Adjusted Earnings Per Share ² (€)	8.32	8.59	+3%	+13.6%
Dividend Per Share ¹ (€)	3.90	4.20	+8%	

Olivier Blum, Chief Executive Officer, commented: “2025 was a milestone year. We delivered record revenues, expanded adjusted EBITA margin despite volatility, and generated our highest free cash flow, with strong execution, particularly in H2. End-market demand accelerated sharply in Q4, led by Data Centers as well as Industry and Infrastructure, confirming our strong strategic positioning, balanced exposure and portfolio strength. We successfully concluded our 2021–25 Schneider Sustainability Impact program, and our new 2030 Sustainability roadmap demonstrates our continued commitment to raise ambitions and power progress for all.

At our 2025 Capital Markets Day, we set a clear five-year ambition: sustainable, high-quality growth and operational excellence within a disciplined financial framework. We are ‘Advancing Energy Tech’ to the next level with our unique portfolio in electrification, automation and digital, driving energy and industrial intelligence in all our markets. We enter this cycle confident in sustained growth, margin expansion, and value creation. We set our FY26 target for adjusted EBITA organic growth of +10% to +15%, driven by structural mega-trends and operational excellence, supported by our strong backlog, innovation pipeline and more recurring mix.”

1. Subject to Shareholder approval on May 7, 2026

2. See appendix Adjusted Net Income & Adjusted EPS

I. ORGANIZATIONAL UPDATE

Schneider Electric today announces that Hilary Maxson, Chief Financial Officer, will be leaving on April 5th, 2026 to take her next professional opportunity in the U.S.

"During her time with Schneider Electric, Hilary has made significant contributions to our company and helped to build our Energy Tech mission. On behalf of Schneider Electric, I thank Hilary for her commitment and leadership. She has been a valued member of our Executive Committee, and I thank her for organizing a smooth transition" said CEO Olivier Blum.

"I am very grateful for my time at Schneider Electric, and proud for what we have accomplished together. It has been a privilege, and I want to thank the entire Schneider Electric team for their unwavering support." said Hilary Maxson.

Hilary Maxson joined Schneider Electric in May 2017, as SVP Finance for the Energy Management Business.

A thorough internal and external search has been conducted for this critical role, with the support of a third-party executive search firm. After careful review, and with the full support of the Board of Directors, Olivier Blum has made the decision to appoint Nathan Fast as the new Chief Financial Officer, effective April 6th, 2026.

Nathan, a U.S. citizen, joined Schneider Electric in 2007 and currently serves as the Head of Investor Relations.

"I am very excited to welcome Nathan as the new Chief Financial Officer of Schneider Electric. He brings broad and diversified finance leadership expertise, built both inside our organization with roles such as SVP Finance Global Supply Chain and SVP Group Controlling & Reporting and externally at EY and Deloitte. With experience living and working in the U.S., Canada, and France, he brings a truly global perspective. I look forward to working with him to advance Energy Tech and deliver strong returns for our shareholders" said CEO Olivier Blum.

II. FOURTH QUARTER REVENUES WERE UP +11% ORGANIC

2025 Q4 revenues were €11,095 million, up +10.7% organic and up +4.0% on a reported basis.

Q4 2025 PERFORMANCE BY BUSINESS MODEL

Products (47% of FY25 revenues) grew +4% organic in Q4. Growth was balanced between volume and price, with pricing led by North America in response to tariffs and supported by Rest of the World in response to inflation, partly offset by deflation in China. Product revenues grew mid-single digit in Energy Management, contrasted between strong growth in electrical power distribution across multiple end-markets and continued weakness in the Residential buildings market in North America and China. Product revenues in Industrial Automation were also up mid-single digit with growth in many product categories and across many geographies, as the steady recovery of recent quarters continued to broaden in Q4.

Systems (34% of FY25 revenues) grew +19% organic in Q4. Energy Management saw strong double-digit growth with contributions across end-markets, most notably in Data Center, where sales of the Group's prefabricated offer were particularly strong, alongside other elements of the full solution offered by the Group. Industrial Automation systems sales grew double-digit. Discrete automation markets saw strong growth in motion and PLC for packaging OEMs; there was also strong growth in medium voltage drives for customers in the Infrastructure and Industry end-markets. Process & Hybrid automation markets were around flat due to demand weakness earlier in the year, which has improved but is not yet reflected in sales growth.

Software & Services (19% of FY25 revenues) grew +10% organic in Q4, of which Software & Digital Services (8% of FY25 revenues) grew +13% organic and Field Services (11% of FY25 revenues) grew +8% organic.

Agnostic Software (comprising AVEVA, ETAP and RIB Software)

AVEVA delivered good growth in Annualized Recurring Revenue (ARR), up +12% as of December 31, 2025. ARR growth was driven by upsell to existing customers, while net new logos contributed positively, with churn remaining low. Strong organic growth was led by SaaS and on-premise rental, while the perpetual license share continued to decline as expected. Segments contributing to growth included Food & Beverage, Energy & Chemicals, Transportation, Power & Grid and through distribution channels.

Energy Management agnostic software offers (ETAP and RIB Software) delivered mid-single digit organic sales growth. The Group's eCAD offer (ETAP) led the organic growth performance with strong uptake for multi-year on-premise rental contracts, while perpetual license revenues declined, as expected. The Group's software offer for the construction market (RIB Software) also grew, seeing strong growth in on-premise rental, while SaaS growth was impacted by timing of renewals, despite the continued transition from perpetual license to subscription.

Services (comprising Digital and Field Services offers) grew double-digit organic in Q4

Field Services grew +8% organic in Q4, with high-single digit growth in Energy Management and low-single digit growth in Industrial Automation. In Energy Management, growth was across end-markets notably from Data Center, capturing demand across the lifecycle, from commissioning to modernization and maintenance.

Digital Services delivered double-digit organic growth in Q4, where there was double-digit growth in EcoStruxure Advisors, digital offers for Grid customers and Cybersecurity solutions, which more than offset softness in sustainability.

Q4 2025 PERFORMANCE BY END-MARKET

Schneider Electric sells its integrated portfolio into four end-markets: Data Center & Networks, Buildings, Industry and Infrastructure, leveraging the unique combination of Energy Management and Industrial Automation complementary offers and technologies supported by the focus on electrification, automation and digitalization to enable a sustainable future.

- **Data Center & Networks** – Demand in the pure Data Center segment accelerated sharply, with triple-digit growth year-over-year in Q4. This was particularly apparent with hyperscale and colocation customers who strongly accelerated investments in the quarter, and demand was also strong with other customer groups. Demand was strongest in North America with a strong pickup in demand in other geographies as well, including France, the Nordics and parts of the Asia Pacific region. The Group provides customers in the Data Center end-market with a broad offer and saw a strong uptake for the Group's electrical panels, UPS, racks, prefabricated solutions and liquid cooling. Sales growth in pure Data Center remained at a strong double-digit level, year-over-year in Q4. In the Distributed-IT segment, demand in the quarter was good, while sales declined slightly, primarily due to weaker performance in the B2C segment in North America.

- **Buildings** – Demand in the Buildings end-market was around flat during the quarter, although sales growth remained good. In the Non-residential buildings market, demand was solid, particularly in technical buildings such as public access buildings, healthcare and hotels, where modernization of building management and power management technologies continues to drive growth. Sales into Non-residential buildings remained strong. Residential building demand declined during the quarter, though varied by country with some signs of stabilization in North America, while the market in China remained weak. Sales into Residential buildings were around flat.

- **Industry** – In Q4, the Industry end-market saw strong demand overall, including for offers of both businesses. In Discrete automation, the market recovery continued, with strong demand against a low base of comparison, led by machinery manufacturers, including strong automation demand in U.S., India and parts of Western Europe. Other industrial manufacturing also saw strong demand. There was good sales growth into Discrete automation markets in the quarter. In Process & Hybrid industries, demand was strong, where in particular, the Energies & Chemicals (E&C) and Semiconductor segments saw strong traction, despite continued macroeconomic uncertainty. Sales growth into Process & Hybrid markets was relatively weaker than Discrete due to demand weakness earlier in the year.

- **Infrastructure** – The Infrastructure end-market saw strong and accelerating demand in the quarter. There was strong demand in the Power & Grid (P&G) segment, across many geographies underpinned by electrification momentum, aging infrastructure, and rising grid expansion requirements driven by energy decentralization. There was solid sales growth in the P&G segment in the quarter. There was strong demand in Water & Wastewater (WWW) including several notable projects in the U.S., Europe and Middle East & Africa, while sales declined against a high base of comparison.

Q4 2025 PERFORMANCE BY BUSINESS AND GEOGRAPHY

The breakdown of revenue by business and geography was as follows:

Region	Q4 2025			FY 2025		
	Revenues € million	Reported Growth	Organic Growth	Revenues € million	Reported Growth	Organic Growth
North America	3,851	+12.6%	+19.4%	13,885	+13.6%	+17.0%
Western Europe	2,145	+5.4%	+5.4%	7,367	+4.0%	+2.5%
Asia Pacific	2,138	-5.3%	+5.5%	8,268	+1.8%	+8.5%
Rest of the World	1,065	-4.5%	+8.7%	3,610	-2.5%	+7.4%
Total Energy Management	9,199	+4.2%	+11.2%	33,130	+6.4%	+10.3%
North America	417	-3.1%	+4.9%	1,553	-4.4%	+0.3%
Western Europe	560	+7.1%	+8.2%	1,949	+1.9%	+2.3%
Asia Pacific	533	+0.8%	+7.0%	2,229	+0.2%	+2.6%
Rest of the World	386	+7.0%	+13.6%	1,291	+2.3%	+8.3%
Total Industrial Automation	1,896	+2.9%	+8.2%	7,022	0.0%	+3.0%
North America	4,268	+10.9%	+17.8%	15,438	+11.5%	+15.0%
Western Europe	2,705	+5.8%	+6.0%	9,316	+3.6%	+2.5%
Asia Pacific	2,671	-4.1%	+5.8%	10,497	+1.4%	+7.2%
Rest of the World	1,451	-1.7%	+10.0%	4,901	-1.3%	+7.6%
Total Group	11,095	+4.0%	+10.7%	40,152	+5.2%	+8.9%

North America (39% of FY 2025 revenues) grew +17.8% organic in Q4.

Energy Management grew +19.4% organic. The U.S. grew strong double-digit despite a high base of comparison. Recent capacity investment supported enhanced volumes, while price realization improved in the quarter. The Data Center end-market led growth, where the Group has strong traction due to its comprehensive portfolio, while the Industry and Infrastructure end-markets also contributed. Services saw high single-digit growth supported by increased attach rates in Data Center and modernization projects in other end-markets. Weakness in Residential and Distributed IT segments was compensated by good traction for new channel partner programs across other segments. Canada was down mid-single digit against a strong double-digit base of comparison due to Data Center projects executed in Q4'24, and with continued weakness in Residential buildings, partly offset by growth in the Industry and Infrastructure end-markets. Mexico was down sharply, in part due to the uncertain macroeconomic environment while also facing a high base of comparison.

Industrial Automation grew +4.9% organic. The U.S. grew high-single digit overall, aided by prior investments in commercial set-up. Discrete automation grew double-digit against a low base of comparison with good traction in both channel and end-user business in Industry and Infrastructure and with strong growth in services. Process & Hybrid sales were stable, impacted by prior order weakness, while AVEVA grew slightly. Canada grew double-digit despite a high base of comparison, benefitting from selling combined solutions of Energy Management and Industrial Automation to customers in the E&C and Non-residential buildings segments. Mexico was down due to continued macroeconomic uncertainty.

Western Europe (23% of FY 2025 revenues) grew +6.0% organic in Q4.

Energy Management grew +5.4% organic. Growth was led by Data Center with good contributions from other segments and end-markets, including Residential buildings which saw solid growth. Among major economies,

growth was led by France, up double-digit, with strength across end-markets, notably in Data Center and Residential buildings. Italy and Germany delivered mid-single digit growth supported by project execution across end-markets, notably from Non-residential buildings. The U.K. grew low-single digit, while Spain declined against a high base of comparison. There was high-single digit growth in aggregate across the rest of the region, supported by Data Center project execution in the Netherlands and the Nordics which also saw growth in the Industry end-market. Services grew strongly across the region, mainly linked to Data Center, while also seeing good contribution from recent acquisition Planon (2 months contribution to organic growth).

Industrial Automation grew +8.2% organic, with double-digit growth at AVEVA, boosted by a large, multi-year, on-premise subscription renewal in Switzerland, with mid-single digit growth in Discrete automation and Process & Hybrid. Among major economies, growth was led by Germany, with double-digit growth across Process & Hybrid, led by the Consumer Packaged Goods segment, Discrete automation and AVEVA. The U.K. grew double-digit, primarily due to AVEVA. France, Italy and Spain were down due to renewal timing in Software, despite strong growth in Discrete for Italy and in Process & Hybrid for France. The rest of the region delivered low-single digit growth in aggregate, when excluding the large software renewal in Switzerland.

Asia Pacific (26% of FY 2025 revenues) grew +5.8% organic in Q4.

Energy Management grew +5.5% organic. India grew double-digit with strong contribution across end-markets and business models. China grew low-single digit, with strong growth in Data Centers and traction in Semicon, while construction markets remained weak. Australia declined mid-single digit against a double-digit base of comparison and with Residential buildings slightly negative. The rest of the region grew mid-single digit in aggregate with a particularly strong contribution from Indonesia due to execution on a large data center project, supported by strong growth in Residential buildings in Vietnam and Infrastructure projects in Thailand, while Malaysia declined against a high base of comparison.

Industrial Automation grew +7.0% organic, with double-digit growth at AVEVA, high-single digit growth in Process & Hybrid automation and mid-single digit growth in Discrete automation. China grew low-single digit with good growth in Discrete automation including momentum with OEMs and benefitting from new product launches, while sales into Process & Hybrid markets were down. India grew double-digit with execution on a project in the E&C segment combined with strong growth in Discrete automation. Australia was up double-digit with strong performance in Discrete automation and at AVEVA. The rest of the region grew high-single digit in aggregate with strong performance in Japan and Korea, both seeing good traction in Process and at AVEVA.

Rest of the World (12% of FY 2025 revenues) grew +10.0% organic in Q4.

Energy Management grew +8.7% organic. Middle East & Africa grew double-digit, led by Saudi Arabia and U.A.E. where strong project execution and services drove growth, notably in E&C, Data Center and P&G segments. Turkey and Egypt also saw strong growth in the quarter, driven by an improvement in the market environment in late 2025. South America was down against a strong double-digit base of comparison due to project execution in Chile in Q4'24, though Argentina grew strongly led by project execution in E&C. Central & Eastern Europe grew mid-single digit with strong growth in products, including in Residential buildings.

Industrial Automation grew +13.6% organic. AVEVA delivered strong double-digit growth, led by the E&C segment. Discrete automation grew double-digit, while Process & Hybrid sales were down, with both varied by geography. Middle East & Africa grew double-digit with strong growth in Discrete automation markets and at AVEVA while Process & Hybrid markets were down against a high base of comparison. South America grew strong double-digit led by Process & Hybrid markets with project execution in Brazil and Argentina in the E&C segment, and strong growth at AVEVA, while Discrete automation markets were down slightly. Central & Eastern Europe was down slightly.

SCOPE³ AND FOREIGN EXCHANGE⁴ IMPACTS IN Q4

In Q4, net acquisitions/disposals had an impact of **+€64 million** or **+0.6%** of Group revenues, mainly relating to the acquisition of Motivair, coupled with 1 month scope impact from Planon and the impact of some smaller disposals.

Based on transactions completed to-date, the Scope impact on FY 2026 revenues is estimated to be **around flat**. The Scope impact on adjusted EBITA margin for FY 2026 is estimated to be **around flat**.

In Q4, the impact of foreign exchange fluctuations was negative at **-€701 million** or **-6.6%** of Group revenues, mostly driven by the weakening of the U.S. Dollar, Indian Rupee and Chinese Yuan against the Euro.

Based on current rates⁵, the FX impact on FY 2026 revenues is estimated to be **between -€850 million to -€950 million**. The FX impact at current rates on adjusted EBITA margin for FY 2026 could be **around -10bps**.

DIGITAL UPDATE

In 2025, the Digital Flywheel represented 62% of Group revenues (vs. 57% in 2024), showing strong progress towards a target of >70% by 2030, growing at +15% in 2025. All four elements of the Digital Flywheel made a strong contribution to the growth, led by Connectable Products as the Group continues to generate value for customers through the digitalization of its product offering, as a foundation for Advancing Energy Tech. Overall, Software & Services represented 19% of Group revenues in 2025, with an ambition for this representation to reach c.25% by 2030. Digital Services grew strongly, while the Group's agnostic software offers also made a strong contribution despite their ongoing transition to a subscription model. Recurring revenues within agnostic software increased to 79% (vs. 77% in 2024), led by AVEVA, which achieved close to 85% as outlined in the Group's 2025 Capital Markets Day. The Group aims to double the weightage of total recurring revenues by 2030.

BACKLOG

The Group closed the year with backlog of €25,362 million (2024: €21,420 million), up +18%. Backlog grew across both businesses, with Energy Management at €21,340 million, up +21%, and Industrial Automation at €4,022 million, up +8%. Backlog grew across all business models, with the most significant increase seen in Systems in North America due to accelerated demand in the Data Center end-market. There was strong growth in backlog to be executed in 2027 and beyond, linked with Data Center, while backlog to be executed in 2026 also grew. This record level of backlog gives the Group unprecedented visibility moving into the next cycle.

3. Changes in scope of consolidation also include some minor reclassifications of offers among different businesses.

4. For those currencies meeting the criteria to be considered hyperinflationary under IAS 29, such as Argentina and Türkiye, an IFRS technical adjustment for hyperinflation impact is reflected as FX and therefore excluded from the organic growth calculation. The effect of operational actions taken in these countries such as increased pricing to mitigate the inflationary impact is reflected as part of the organic growth.

5. Forward exchange rates are volatile and difficult to predict. Consequently, the impact of such movement and possible impacts from hyperinflation technical accounting (IAS29) are not factored at this stage.

III. FULL YEAR 2025 KEY RESULTS

€ million	2024 FY	2025 FY	Reported change	Organic change
Revenues	38,153	40,152	+5.2%	+8.9%
Gross Profit	16,268	16,895	+3.9%	+7.6%
<i>Gross profit margin</i>	<i>42.6%</i>	<i>42.1%</i>	<i>-50bps</i>	<i>-40bps</i>
Support Function Costs	(9,185)	(9,375)	+2.1%	+4.2%
<i>SFC ratio (% of revenues)</i>	<i>-24.1%</i>	<i>-23.3%</i>	<i>+80bps</i>	<i>+90bps</i>
Adjusted EBITA	7,083	7,520	+6.2%	+12.3%
<i>Adjusted EBITA margin</i>	<i>18.6%</i>	<i>18.7%</i>	<i>+10bps</i>	<i>+50bps</i>
Restructuring costs	(141)	(287)		
Other operating income & expenses	(87)	(77)		
EBITA	6,855	7,156	+4%	
Amortization & impairment of purchase accounting intangibles	(406)	(457)		
Net Income (Group share)	4,269	4,163	-2%	
Adjusted Net Income (Group share)⁶	4,664	4,829	+4%	+13.9%
Adjusted EPS⁶ (€)	8.32	8.59	+3%	+13.6%
Free Cash Flow	4,216	4,635	+10%	

ADJUSTED EBITA MARGIN AT 18.7%, UP +50BPS ORGANIC, IMPACTED BY LOWER GROSS MARGIN OFFSET BY A REDUCTION IN SFC / SALES RATIO

Gross profit was up **+7.6%** organic with Gross margin down **-40bps** organic, to be at **42.1%** in FY25. The Group delivered strong levels of industrial productivity and saw an acceleration in product pricing in Q4, however this was insufficient to fully offset the Gross margin headwinds from Mix, reflective of continued strong growth in Systems, and raw material cost inflation inclusive of tariffs.

Adjusted EBITA reached **€7,520 million**, increasing organically by **+12.3%** and the Adjusted EBITA margin improved by **+50bps** organic to **18.7%** as a consequence of good control over the Group's discretionary costs despite the negative Gross Margin evolution. SFC costs decreased as a percentage of revenues by +80bps to 23.3%, with a positive organic evolution of +90bps partly offset by FX headwinds.

6. See appendix Adjusted Net Income & Adjusted EPS.

The key drivers contributing to the earnings change were the following:

€ million	Adj. EBITA	YoY change	Comments
Adj. EBITA FY 2024	7,083		
Volume impact		+1,355	Positive impact from higher sales volumes.
Industrial productivity		+596	The Group's industrial productivity was +€596m in FY25 showing a strong sequential improvement in H2 against a low base of comparison due to investment in the Group's supply chain, primarily in North America and India in H2'24, combined with focused execution and improved volumes in H2'25.
Net price⁷		-179	The net price impact was negative at -€179m in FY25. Gross pricing on products was positive at +€76m having seen an acceleration in Q4, while in total, RMI was a headwind at -€255m, including raw material cost inflation and a tariff impact of c.-€160m. As previously communicated, the Group maintains an ambition of flat to positive net pricing over the cycle (offsetting tariffs and inflation).
<i>Gross pricing on products</i>		<i>+76</i>	
<i>Raw Material Impact and tariffs</i>		<i>-255</i>	
Cost of Goods Sold inflation		-89	Cost of Goods Sold inflation was -€89m in FY25, of which the production labor cost and other cost inflation was -€102m, and the decrease in R&D in Cost of Goods Sold was +€13m. The overall investment in R&D, including in support function costs remained at 5.6% of FY25 revenue (vs. 5.6% in FY24).
<i>Production labor cost and other cost inflation</i>		<i>-102</i>	
<i>R&D in Cost of Goods Sold</i>		<i>+13</i>	
Support function costs		-376	Support Function Costs increased organically by -€376m, or +4.2% org. in FY25. The Group was impacted by inflation for -€310m and continued to focus on its strategic priorities with investments of -€438m mainly linked to R&D, services commercial footprint, digital tools and systems, and AI to drive efficiency. The Group delivered +€349m of cost savings, mainly linked to headcount simplification initiatives. Other cost decreases were +€23m.
Mix		-243	FY25 performance resulted in an adverse mix effect of -€243m due to the relatively faster growth of Systems revenues compared to Products and Software.
Foreign currency impact⁸		-482	The impact of foreign currency decreased the adjusted EBITA by -€482m, or around -50bps of adj. EBITA margin in FY25.
Scope and Others		-145	The impact from scope & others was -€145m in FY25, with net Scope impacts representing a +10bps adj. EBITA margin tailwind. Others consists of miscellaneous small items.
Adj. EBITA FY 2025	7,520		

7. Price on products and raw material impact

8. For those currencies meeting the criteria to be considered hyperinflationary under IAS 29, such as Argentina and Türkiye, an IFRS technical adjustment for hyperinflation impact is reflected as FX and therefore excluded from the organic growth calculation. The effect of operational actions taken in these countries such as increased pricing to mitigate the inflationary impact is reflected as part of the organic growth

The FY 2025 adjusted EBITA for each business was as follows:

- **Energy Management** generated an adjusted EBITA of **€7,235 million**, or **21.8%** of revenues, around flat organically (down -30bps reported), where a decline in Gross Margin was driven by negative mix and raw material inflation more than offsetting strong industrial productivity. This was mitigated by an improvement in SFC/Sales ratio, with improved leverage on a strong volume contribution, particularly in Systems.
- **Industrial Automation** generated an adjusted EBITA of **€994 million**, or **14.2%** of revenues, up c.+10bps organic (down -60bps reported), where an improvement in Gross Margin was driven by strong industrial productivity, positive mix from AVEVA and the recovery in Discrete automation more than offsetting the impact of raw material and other cost inflation. The SFC/Sales ratio in Industrial Automation deteriorated due to the lower volume contribution in the first half of the year.
- **Central Functions & Digital Costs** in 2025 amounted to **€709 million** (€823 million in 2024), decreasing to 1.8% of Group revenues (from 2.2% of Group revenues last year).

▪ ADJUSTED NET INCOME UP +14% ORGANIC

€ million	2024 FY	2025 FY	Comments
Adj. EBITA	7,083	7,520	
Other operating income and expenses	(87)	(77)	Other operating income and expenses were -€77m in FY25, consisting mainly of M&A and integration costs and some legal provisions. FY24 included items of a similar nature.
Restructuring costs	(141)	(287)	Restructuring costs were -€287m in FY25, €146m higher than FY24 aligned with the expectation set out in the Group's 2025 CMD, to drive operational excellence.
Amortization and impairment of purchase accounting intangibles	(406)	(457)	Amortization and impairment of intangibles linked to acquisitions was -€457m, €51m higher than the previous year, primarily due to amortization of intangible assets associated with the Planon and Motivair acquisitions and the eStar joint venture.
Net financial income/(loss)	(409)	(519)	Net financial expenses were -€519m, €110m higher than the previous year. The increase primarily relates to higher interest expense on bonds following refinancing and some adverse FX differences.
Income tax expense	(1,398)	(1,455)	Income tax amounted to -€1,455m, higher than last year by €57m. The Effective Tax Rate was 23.5%, in line with the expected range of 23-25% for FY25, and 0.4pts higher than the FY24 ETR of 23.1%.
Profit/(loss) of associates and non-controlling interests	(153)	(174)	Share of profit on associates was +€14m, down -€3m compared to 2024. Amounts attributable to non-controlling interests increased to -€188m compared to -€170m in 2024, mainly due to the strong performance of Schneider Electric India Private Limited in which Schneider completed the purchase of the minority shares in Dec'25.
Impairment of investments in associates	(220)	(388)	Impairment of investment in associates was -€388m in FY25, primarily relating to an impairment of the Group's equity investment in Uplight and associated convertible loan notes.
Net Income (Group share)	4,269	4,163	Net Income (Group share) was €4,163m in FY25, down -2% vs. last year.
Adjusted Net Income (Group share)⁹	4,664	4,829	Adjusted Net Income was €4,829m in FY25, up +4% vs. FY24 impacted by FX headwinds; up +14% at constant currency.

9. See appendix Adjusted Net Income & Adjusted EPS.

▪ FREE CASH FLOW OF €4.6 BILLION

The Group delivered Free Cash Flow of **€4,635 million** in FY25.

Operating cash flow was strong at €6,748 million, up +€440 million vs. FY24 primarily due to the strong growth in EBITDA in FY25. The operating cash flow included R&D cash costs of €2,380 million, which remained stable at 5.9% of 2025 revenue.

Net capital expenditure increased to -€1,496 million (€132 million higher than in FY24) representing around 3.7% of revenues, with 2.5% relating to net tangible capex and 1.2% to intangible capex (mainly capitalized development costs), as the Group continues to invest in its global supply chain and focus on innovation.

Trade working capital buildup impacted the free cash flow in 2025 by -€360 million (compared to -€594 million in FY24). DSO improved by 2 days compared to December 2024 due to strong cash collection, while DPO improved by 1 day. DIN improved by 3 days vs. December 2024 supported by structured actions to reduce closing inventories to an appropriate level as part of the Group's focus on rigorous working capital management.

Non-trade working capital impacted the free cash flow in 2025 by -€257 million (compared to -€134 million in FY24) with the year-on-year variance primarily due to a fine of -€207 million paid in 2025 in relation to a previously disclosed legal case in France, partly offset by lower bonus accruals.

▪ BALANCE SHEET REMAINS STRONG

Schneider Electric's net debt at December 31, 2025 amounted to **€13,721 million** (up from €8,147 million at December 31, 2024) after payment of -€2.3 billion to fulfill the 2024 dividend, a net impact from acquisitions and disposals of -€1.2 billion, transactions with non-controlling interests for -€5.8 billion (of which -€5.5 billion relating to the purchase of the remaining minority interests in SEIPL) and payment of -€0.3 billion in relation to share buyback, offset by the strong Free Cash Flow performance of +€4.6 billion.

The Group remains committed to retaining its A-grade credit ratings.

▪ CASH CONVERSION & PROPOSED DIVIDEND

The cash conversion ratio (Free Cash Flow as a percentage of Net Income Group Share) was 111% in FY25, in part due to the non-cash impairment of investment in associates and payment of the fine in France. The cash conversion ratio was 106% adjusted for these items, up from 94% on an equivalent basis last year, demonstrating the Group's ability to sustainably drive strong cash conversion, including in periods of higher growth.

Aligned with the capital allocation framework set out in the CMD, the Board of Directors proposes a dividend¹⁰ of €4.20 per share, up +8% vs. 2024 as the Group maintains its progressive dividend policy for the 16th year.

10. Subject to Shareholder approval on May 7, 2026

IV. SCHNEIDER SUSTAINABILITY IMPACT

Schneider Electric today published its 2025 extra-financial results, marking the conclusion of its Schneider Sustainability Impact (SSI) 2021–2025 program. Over the past five years, the Group has reported measurable progress across climate, social, and governance dimensions, supporting customers, partners, and communities in their transition toward a more sustainable and inclusive future.

As of the end of Q4 2025, Schneider Sustainability Impact program (SSI) achieved an **overall score of 8.86/10**, reflecting the scale of the sustainable transformation carried out across the Group and its value chain over the past five years. This chapter demonstrates how Schneider Electric has translated long-term ambition into measurable, global and local results, transforming its business and engaging its ecosystem.

“Schneider Sustainability Impact 2021–2025 has been a transformative journey,” said Olivier Blum, CEO of Schneider Electric. “For more than 20 years, sustainability has been rooted in our identity and driven our journey forward. By combining innovation, partnerships, and accountability, we have delivered progress against key sustainability metrics across our operations and our ecosystem. These results reinforce our belief that sustainability is a powerful driver of both performance and positive impact.”

Schneider Electric has been playing a critical role in helping customers reduce their environmental footprint through its products and solutions. By the end of 2025, the Group enabled customers to save and avoid 862 million tonnes of CO₂ emissions, surpassing its original ambition of 800 Mt CO₂. Moreover, through the Zero Carbon Project, Schneider Electric has successfully mobilized its supply chain to take concrete action toward decarbonization. By engaging its top 1,000 suppliers, the Group contributed to a 56% reduction in suppliers’ operational CO₂ emissions.

Schneider continues to push for fair and safe working conditions across its suppliers’ ecosystem. As of 2025, 98% of strategic suppliers conform to the Group’s Decent Work requirements, reinforcing respect for human rights, ethical labor practices, and employee well-being in its value chain.

Guided by its mission to power progress for all, Schneider Electric has continued to contribute to a fair and inclusive energy transition, enabling its stakeholders to participate in and benefit from sustainable progress. Through the Access to Energy initiative launched in 2009, the Group has expanded access to clean, reliable, and affordable energy for underserved communities, impacting more than 60 million people worldwide by the end of 2025, well beyond its original ambition of 50 million beneficiaries. At the same time, Schneider Electric has invested in youths’ upskilling and education to support long-term inclusion, training over one million people in energy management since 2009, and equipping individuals with the capabilities needed to build resilient communities and support the global energy transition.

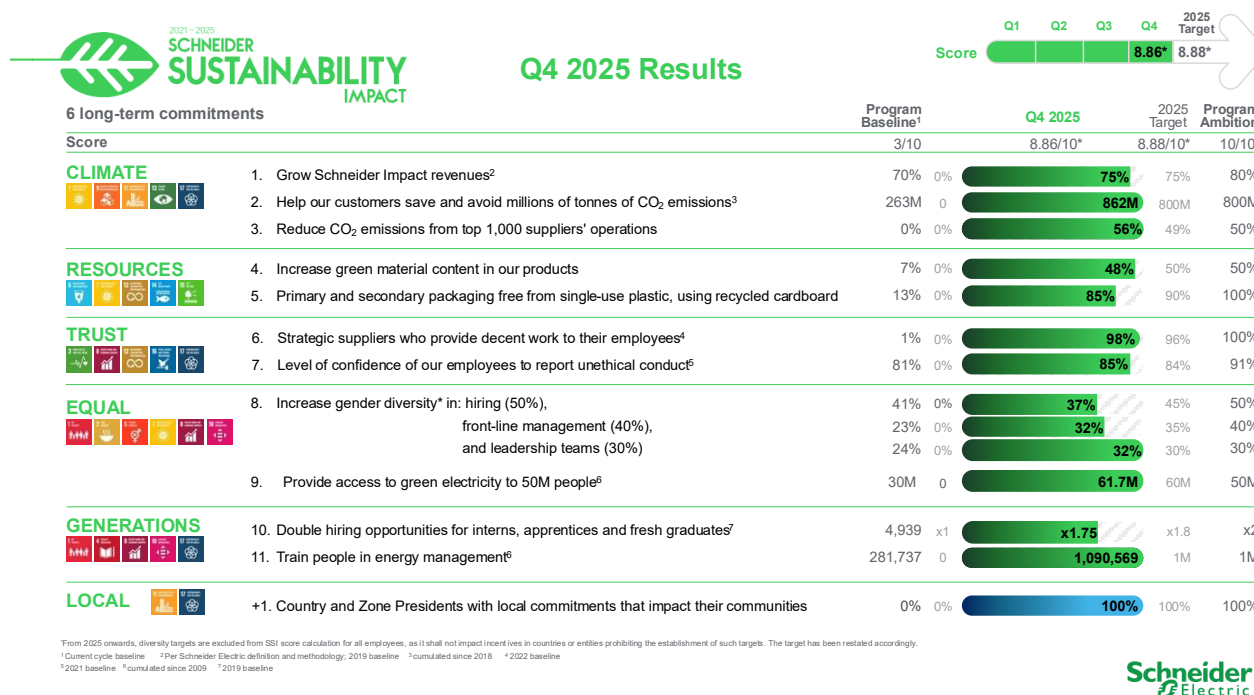
Since 2021, more than 500 local sustainability initiatives have come to life in the countries where Schneider Electric operates, illustrating how the Company contributes to generating impact for local communities.

“Closing SSI 2021-2025 is a milestone, not a finish line. What remains is the collective capability we’ve built with our people, customers and suppliers, and the discipline to deliver concrete results and meaningful impact” said Esther Finidori, Chief Sustainability Officer of Schneider Electric. “As we move toward 2030, our compass is clear: we’ll leverage technology and innovation for progress, bring others along, learn and share what works to scale impact while continuously striving to do the right thing. At Schneider Electric, we’re convinced that advancing energy technology can help power progress for all.”

In addition to these achievements, Schneider Electric’s sustainability approach has also been recognized across several [top ESG ratings](#), such as Ecovadis Platinum medal, the placement on CDP’s Climate Change

A list, and the ranking 1st in the Social Benchmark and 3rd in the Gender Benchmark in the latest World Benchmarking Alliance (WBA) assessment, among others.

For a detailed view of all indicators and progress, please refer to the full Q4 2025 Schneider Sustainability Impact report, including the latest progress dashboard:



V. PORTFOLIO UPDATE

Acquisition

- As separately announced on December 18, 2025, Schneider Electric has completed the transaction to acquire the remaining 35% of Schneider Electric India Private Limited ("SEIPL") from Temasek to reach full ownership. This transaction reinforces Schneider Electric's strategic focus on India as both an attractive domestic growth market and one of the key hubs in its multi-hub strategy.

VI. FINANCING UPDATE

Since reporting on Q3 2025, Schneider Electric has successfully issued bonds to support financing the previously announced acquisition of the remaining 35% stake in Schneider Electric India Private Limited ("SEIPL").

- On December 3, 2025, the Group successfully issued a €750 million fixed rate bond with a 2.750% coupon maturing in July 2030.

VII. EXPECTED TRENDS IN 2026

- Strong market demand to drive growth, with positive contribution from all four end-markets
- Data Center & Networks to lead growth based on strong demand in 2025; Industry and Infrastructure to accelerate; Buildings to improve contribution, aligned with macroeconomic trends
- Systems to lead growth; Products to show improved contribution with continued recovery in Discrete
- Strong growth in Software and Services, with key focus on driving more recurring revenues
- All four regions to contribute to growth (North America, Europe, China & East Asia, South Asia & International), led by U.S. and India
- The Group expects to be Net Price positive in value (price to offset raw material impact and tariffs), ramping up throughout the year
- The Group expects the other drivers of adj. EBITA margin expansion to be aligned with those set out in its recent Capital Markets Day

VIII. 2026 TARGET

The Group sets its 2026 financial target as follows:

2026 Adjusted EBITA growth of between +10% and +15% organic.

The target would be achieved through a combination of organic revenue growth and margin improvement, currently expected to be:

- Revenue growth of **+7% to +10% organic**
- Adjusted EBITA margin up **+50bps to +80bps organic**

This implies Adjusted EBITA margin of **around 19.1% to 19.4%** (including scope based on transactions completed to-date and FX based on current estimation).

Further notes on 2026 available in appendix

IX. 2026-2030 FINANCIAL TARGETS AS ANNOUNCED IN 2025 CAPITAL MARKETS DAY

Based on its current view and assuming no major changes to the macroeconomic and geopolitical environment, Schneider Electric announced its medium-term financial targets as follows:

2026-30 Financial Targets:

- Organic revenue growth of between +7% to +10%, CAGR 2025-2030¹¹
- Organic expansion of Adjusted EBITA margin of +250 basis points, cumulatively, 2026-2030
- Cash conversion ratio¹² to be around 100%, 2026-2030

11. 5-year CAGR

12. Free Cash Flow as a proportion of Net Income (Group Share)

The financial statements of the period ending December 31, 2025 were established by the Board of Directors on February 25, 2026. At the date of this press release, the audit procedures were carried out and the report of the statutory auditors is being finalized.

The Q4 2025 & FY 2025 Annual Results presentation is available at www.se.com

Q1 2026 Revenues will be presented on April 30, 2026.

The Annual General Meeting will take place on May 7, 2026.

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Disclaimer: All forward-looking statements are Schneider Electric management's present expectations of future events and are subject to a number of factors and uncertainties that could cause actual results to differ materially from those described in the forward-looking statements. For a detailed description of these factors and uncertainties, please refer to the section "Risk Factors" in our Universal Registration Document (which is available on www.se.com). Schneider Electric undertakes no obligation to publicly update or revise any of these forward-looking statements.

About Schneider Electric:

Schneider Electric is a global energy technology leader, driving efficiency and sustainability by electrifying, automating, and digitalizing industries, businesses, and homes. Its technologies enable buildings, data centers, factories, infrastructure, and grids to operate as open, interconnected ecosystems, enhancing performance, resilience, and sustainability. The portfolio includes intelligent devices, software-defined architectures, AI-powered systems, digital services, and expert advisory. With 160,000 employees and 1 million partners in over 100 countries, Schneider Electric is consistently ranked among the world's most sustainable companies.

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Appendix – Further notes on 2026

- **Foreign Exchange impact:** Based on current rates¹³, the FX impact on FY 2026 revenues is estimated to be **between -€850 million to -€950 million**. The FX impact at current rates on adjusted EBITA margin for FY 2026 could be **around -10bps**
- **Scope impact:** **Around flat** on 2026 revenues and **around flat** on 2026 adjusted EBITA margin, based on transactions completed to-date
- **Tax rate:** The ETR is expected to be in a **23-25%** range in 2026
- **Restructuring:** The Group expects **cumulative incremental restructuring costs of €500 million in the years 2025-2027**, above a normalized rate of c. €100 - €150 million per year
- **Finance costs:** The Group expects incremental costs of **c. -€150 million** in 2026 associated with the financing of the transaction to acquire the remaining 35% of SEIPL.

Appendix – Revenues breakdown by business

Q4 2025 revenues by business were as follows:

	Q4 2025				
	Revenues € million	Organic growth	Changes in scope of consolidation	Currency effect	Reported growth
Energy Management	9,199	+11.2%	+0.4%	-6.5%	+4.2%
Industrial Automation	1,896	+8.2%	+2.1%	-6.9%	+2.9%
Group	11,095	+10.7%	+0.6%	-6.6%	+4.0%

H2 2025 revenues by business were as follows:

	H2 2025				
	Revenues € million	Organic growth	Changes in scope of consolidation	Currency effect	Reported growth
Energy Management	17,238	+10.5%	+0.7%	-5.8%	+4.6%
Industrial Automation	3,578	+7.1%	+1.5%	-6.1%	+2.2%
Group	20,816	+9.9%	+0.8%	-5.9%	+4.2%

FY 2025 revenues by business were as follows:

	FY 2025				
	Revenues € million	Organic growth	Changes in scope of consolidation	Currency effect	Reported growth
Energy Management	33,130	+10.3%	+0.8%	-4.0%	+6.4%
Industrial Automation	7,022	+3.0%	+1.5%	-4.3%	0.0%
Group	40,152	+8.9%	+0.8%	-4.1%	+5.2%

13. Forward exchange rates are volatile and difficult to predict. Consequently, the impact of such movement and possible impacts from hyperinflation technical accounting (IAS29) are not factored at this stage.

Throughout this document growth percentage calculations are compared to the same period of the prior year, unless stated otherwise.

Appendix – Scope of Consolidation

Number of months in scope	Acquisition / Disposal	2025				2026			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
Planon									
Energy Management Business	Acquisition	3m	3m	3m	1m				
Motivair Corporation									
Energy Management Business	Acquisition	1m	3m	3m	3m	2m			

Appendix – Adjusted EBITA, Analysis of Change

€ millions	H1	H2	FY
	Adj. EBITA	Adj. EBITA	Adj. EBITA
2024 Adj. EBITA	3,383	3,700	7,083
Volume	+610	+745	+1,355
Net Price	-84	-95	-179
Productivity	+164	+432	+596
Mix	-161	-82	-243
R&D & Production Labor Inflation	-56	-33	-89
SFC	-206	-170	-376
FX	-146	-336	-482
Scope & Other	+6	-151	-145
2025 Adj. EBITA	3,510	4,010	7,520

Appendix - Results breakdown by division

€ million		H1 2024	H1 2025	Organic	H2 2024	H2 2025	Organic	FY 2024	FY 2025	Organic
Energy Management	Revenues	14,652	15,892		16,479	17,238		31,131	33,130	
	Adjusted EBITA	3,250	3,412		3,615	3,823		6,865	7,235	
	Adjusted EBITA margin	22.2%	21.5%	c. -50 bps	21.9%	22.2%	c. +50 bps	22.1%	21.8%	c. flat
Industrial Automation	Revenues	3,521	3,444		3,501	3,578		7,022	7,022	
	Adjusted EBITA	542	471		499	523		1,041	994	
	Adjusted EBITA margin	15.4%	13.7%	c. -120 bps	14.3%	14.6%	c. +120 bps	14.8%	14.2%	c. +10 bps
Corporate	Central Functions & Digital Costs	(409)	(373)		(414)	(336)		(823)	(709)	
Total Group	Revenues	18,173	19,336		19,980	20,816		38,153	40,152	
	Adjusted EBITA	3,383	3,510		3,700	4,010		7,083	7,520	
	Adjusted EBITA margin	18.6%	18.2%	-10 bps	18.5%	19.3%	+120 bps	18.6%	18.7%	+50 bps

Appendix – Adjusted Net Income & Adjusted EPS

Key figures (€ million)	2024 FY	2025 FY	Reported Change	Organic Change
Adjusted EBITA	7,083	7,520	+6%	+12.3%
Amortization of purchase accounting intangibles	(406)	(457)		
Net financial income/(loss)	(409)	(519)		
Income tax with impact from adjusted items	(1,451)	(1,541)		
Profit/(loss) of associates and non-controlling interests	(153)	(174)		
Adjusted Net Income (Group share)	4,664	4,829	+4%	+13.9%
Adjusted EPS (€)	8.32	8.59	+3%	+13.6%

Appendix – Free Cash Flow and Net Debt

Analysis of net debt change in € million	FY 2024	FY 2025
Net debt at opening at Dec. 31	(9,367)	(8,147)
Operating cash flow	6,308	6,748
Capital expenditure – net	(1,364)	(1,496)
Operating cash flow, net of capex	4,944	5,252
Change in trade working capital	(594)	(360)
Change in non-trade working capital	(134)	(257)
Free cash flow	4,216	4,635
Dividends	(2,049)	(2,287)
Acquisitions – net	(452)	(1,158)
Net capital increase/(decrease)	(70)	(70)
Transactions with non-controlling interests	(70)	(5,840)
FX & other (incl. IFRS 16)	(355)	(854)
(Increase) / Decrease in net debt	1,220	(5,574)
Net debt at Dec. 31	(8,147)	(13,721)

Appendix – ROCE

ROCE calculation

P&L items (€ million)		2024 reported	2025 reported
EBITA	(1)	6,855	7,156
Restructuring costs	(2)	(141)	(287)
Other Operating Income & Expenses	(3)	(87)	(77)
= Adjusted EBITA	(4) = (1)-(2)-(3)	7,083	7,520
x Effective tax rate of the period	(5)	23.1%	23.5%
= After-tax Adjusted EBITA	(A) = (4)*(1-(5))	5,447	5,753

Balance sheet items (€ million)	2024 reported	2025 reported		2024 avg. of 4 quarters	2025 avg. of 4 quarters
Shareholders' equity	31,280	24,455	(B)	29,268	28,159
Net financial debt	8,147	13,721	(C)	9,513	11,450
Adjustment for Associates and Financial assets (fair value)	(1,870)	(1,409)	(D)	(1,961)	(1,530)
= Capital employed	37,557	36,767	(E) = (B)+(C)+(D)	36,820	38,079
= ROCE			(A)/(E)	14.8%	15.1%